

--	--	--	--	--	--	--	--	--	--

GNIOT Institute of Management Studies – PGDM (Batch 2021-23)**(TRIMESTER – V) END TERM EXAMINATION, DECEMBER - 2022****WORKING CAPITAL MANAGEMENT****[Time: 2 Hours 30 Minutes]****[Maximum Marks: 100]****INSTRUCTIONS:**

- (i) **There are THREE sections in this question paper.**
- (ii) **Attempt questions from each section as per the directions.**
- (iii) **Make suitable assumptions wherever necessary.**

SECTION-A**(Short Answer Type Questions, do not exceed 100 words)****Q.1. Attempt all parts of the following:****(10×3=30)**

- (a) Write a note on Adequacy of working capital.
- (b) Describe different forms of Trade credit
- (c) “Small increase in cash discount rate is insignificant. Critically examine
- (d) Define Treasury bills
- (e) Discuss the relationship between liquidity and working capital value.
- (f) Write a note on Commercial Paper.
- (g) Explain the various sources of financing current assets.
- (h) Define Economic order quantity. How it is computed?
- (i) Write the mechanics of factoring.
- (j) Briefly explain the need of holding cash.

SECTION-B**(Long Answer Type Questions)****Attempt all questions of the following:****(4×10=40)****Q.2. (a) Explain the different approaches to financing of working capital requirements? Explain in detail.****OR****(b) “Length of operating cycle is a major determinant of working capital needs of a business firm”. Explain.****Q.3. (a) Explain briefly some of the techniques of inventory management, that may be used in a manufacturing concern.****OR****(b) “Inventories are necessary evils.” In the light of this statement, explain the importance and objectives of efficiently management of inventories.****Q.4. (a) “Average age of receivables is an important yardstick of testing the efficiency of receivables management.” Explain****OR****(b) State the role of which receivables play in the overall financial picture of the firm?****Q.5. (a). Briefly explain the factors that determine the cash needs of a firm. Give examples to illustrate the short, long and pro-curement costs.****OR****(b) Elaborate the basic strategies of efficient cash management? Illustrate with suitable examples the effect of these on the operating cash requirement of the firm.**

SECTION-C

Q.6. Attempt all parts of the following:

(2×15=30)

6(a) Prepare monthly cash forecast for the company XYZ Ltd for the quarter ending 31st March, from the following details:

- (i) Opening balance as on 1st January is Rs 22,000
- (ii) Its estimated sales for the month of January and February ₹ 1,00,000 each for the month of March is ₹ 1,20,000. The sale for November and December of the previous year have been ₹ 1,00,000 each.
- (iii) Cash and credit sales are estimated 20% and 80% respectively.
- (iv) The receivables from credit sales are expected to be collected as follows: 50% of the receivable on an average of one month from the date of sales; and balance 50% after two months from the date of sale. No bad debts on the realization of sales.
- (v) Other anticipated receipt is ₹ 5,000 from the sale of machine in March.

The forecast of payment is as follows:

- (a) The purchase of materials worth ₹ 40,000 in January and February and materials worth ₹ 48,000 in March.
- (b) The payments for these purchases are made approximately a month after the purchase. The purchases for December of the previous year have been ₹ 40,000 for which the payment will be made in January.
- (c) Miscellaneous cash purchase of ₹ 2,000 per month.
- (d) The wages payments are expected to be ₹ 15,000 per month.
- (e) Manufacturing expenses are expected to be ₹ 20,000 per month.
- (f) General selling expenses are expected to be ₹ 10,000 per month.
- (g) A machine worth ₹ 50,000 is proposed to be purchased on cash in March.

6(b) You are analyzing the balance sheet for Topaz, a retail firm that sells home furnishing February 26, of December 2020 (in millions):

Assets		Liabilities	
Cash	\$ 6.5	Accounts Payable	\$ 27.5
Receivables	3.1		
Inventory	108.4	Other Current Liabilities	18.6
<i>Current Assets</i>	118.0	<i>Current Liabilities</i>	46.1
Fixed Assets	53.8		
		Long Term Debt	16.8
		Equity	<u>108.9</u>
Total Assets		Total Liabilities	\$ 171.8

The firm had revenues of \$440.3 million in 2020 and cost of goods sold of \$249.2 million.

- a. Estimate the net working capital
- b. Estimate the noncash working capital
- c. Estimate noncash working capital requirement as a percent of revenues. If you were asked to estimate the noncash working capital needs for a new store that for Topaz was constructing, would you use this ratio? Why or why not?